> focuses precisely on the problem of large campaign contributions – the narrow aspect of political association where the actuality and potential for corruption have been identified – while leaving persons free to engage in independent political expression, to associate actively through volunteering their services, and to assist to a limited but nonetheless substantial extent in supporting candidates and committees with financial resources. *Buckley v. Valeo*, 424 U.S. 1, 28 (1976))

In other words, the Court in *Buckley* treated freedom of political expression as the default rule, but carved out campaign contributions as an area that could be regulated because the limit on contributions was precisely targeted to reduce the risk of corruption. It appears that the dissenting Justices in *Citizens United* would effectively overturn *Buckley* and find that political speech—and in particular all use of money to promote political speech—is presumptively subject to "reasonable" regulation.

a. Would the dissent in *Citizens United* undo *Buckley*?

Answer: Justice John Paul Stevens, the author of the *Citizens United* dissent, has consistently indicated his desire to overturn *Buckley v. Valeo*. That this precedent is older than *Austin* has never disturbed him.

The other *Citizens United* dissenters have not, to my knowledge, explicitly indicated a desire to overrule *Buckley*, and in his plurality opinion in *Randall v. Sorrell*, 548 U.S. 230 (2006), Justice Breyer relied heavily on *Buckley* as settled precedent in overturning a Vermont law intended to challenge *Buckley*.

As a practical matter, however, as I have stated in response to other questions, *Austin* itself (and *McConnell v. FEC*) is incompatible with *Buckley*. Moreover, we should not ignore the radicalism of the *Citizens United* dissenters. These four Justices would have prohibited a non-profit membership corporation from distributing a political movie. Much has been made of the idea that the majority decision is out of step with popular opinion, based on a *Washington Post* poll Forgetting, for moment, the idea that the Constitution exist to protect rights from popular opinion, the Center for Competitive Politics poll, attached to my original written statement, found that by a three to one margin voters approved of the majority holding (and thereby disapproved of the dissenters' view) in favor of allowing distribution of "Hillary: The Movie." Further, by suggesting that corporate speech rights can be freely abridged by government because "the speakers are not natural persons," Justice Stevens' dissent hints at a truly radical willingness to toss out nearly 200 years of constitutional precedent, with deep roots in the common law, affirming that corporations, as assemblies of citizens, do have constitutional rights and do benefit from constitutional protections. (Justice Sotomayor also questioned this deeply rooted precedent at the second oral argument).

In my view, *Austin* and *McConnell* are flatly incompatible with *Buckley*, and justices who voted for those decisions effectively sought to overturn *Buckley* without saying so. *See* Lillian R. BeVier, McConnell v. FEC: *Not Senator Buckley's First Amendment*, 3 Election L. J. 127 (2004).

b. If so, is that a more radical solution than the majority's holding?

Answer: Yes, see above.

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c. At oral argument, Justice Sotomayor appeared to suggest that the Court erred a century ago in finding that corporations were "persons" entitled to protection under the 14th Amendment. Similar claims have been advanced in the popular press, and were repeated by some Senators and at least one witness at last week's hearing. Would a decision by the Court that corporations do not have First Amendment rights to political speech have been a more radical conclusion than the ruling announced by the majority in *Citizens United*?

Answer: Clearly so. Since at least the 1886 case *Santa Clara County v. Southern Pacific Railroad*, 118 U.S. 394, it has been settled that the equal protection clause applies to corporations. As noted, this holding is firmly rooted in the earliest constitutional precedents, *see e.g. Dartmouth College v. Woodward*, 17 U.S. 518 (1819) and in the common law. Corporations are not people, of course, and there is nothing remarkable in that observation. But they are associations of people, bound together in a complex web of imperfect contracts. The law allows for the legal fiction of a corporation because it benefits the citizenry and the members of the corporation. Imagine if corporations were not treated as "persons:" to sue a corporation, you would have to name every shareholder, and serve each; every time one person sold a share of stock, all property owned by the association would have to be retitled to reflect the new ownership. And imagine if corporations—associations of people— did not enjoy have constitutional rights: the government could seize corporate property without due process or just compensation; corporations would not have rights against warrantless, unreasonable searches of their properties. And there would be no particular reason to extend such protections to partnerships or unions or informal associations, either— after all, unions are not persons either, but artificial entities. Like corporations, they have rights because they are made up of people.

When Justice Sotomayor suggests that perhaps we should not grant corporations constitutional rights, she proposes a radical remake of American Constitutional and common law and a willingness to overrule literally dozens, if not hundreds, of precedents and to overturn innumerable statutes. First Amendment rights are among the most common rights exercised in association with other people. The lone protestor is not the norm in America, but the oddball. The normal American protest is a rally or march. Americans form groups to lobby and to coordinate their efforts. Most enterprises in America now assume the corporate form: colleges, churches, local charities and historical societies, and virtually every small business. The true judicial radicals are those who would deprive Americans of their rights on the grounds that they have joined in the corporate form.

4. In an exchange with Sen. Franken regarding his proposal to bar political spending by any U.S. corporation with more than 20% of shares held by foreign investors, Sen. Franken asserted that Delaware's corporations law treated 20% ownership as "control" of a corporation. You responded that "laws are written for different purposes."

   a. What, in your understanding, does the "corporate control" threshold in corporations law seek to measure or define?

Answer: Laws defining corporate control typically exist for the purpose of securities regulation or for regulating and limiting conflicts of interest within management. Senator Franken was referring, I believe, to 8 Del. Code Sec. 203 (c)(4). The statute creates a rebutable presumption of "control" at 20 percent ownership. The statute, however, is for the purpose of regulating corporate takeovers, including anti-takeover and poison pill provisions, and corporations may opt out of the Chapter

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completely [8 Del. Code Sec. 203 (b)(1)]. But, for example, when it comes to management of the corporation, Delaware courts have held that a party who alleges control of a corporation must prove it, and that stock ownership alone, at least when it amounts to less than fifty percent, is insufficient to prove "control." [*See e.g. Kaplan v. Centex Corp.*, 284 A. 2d 119 (Del. Ch. 1971)]. Further, fiduciary duties are owed by those who "in fact" control the corporation, which is not based on a set percentage of ownership. [*See e.g. Cinerama v. Technicolor Inc.*, 663 A 2d. 1156 (Del. 1995); *Harriman v. E. I. DuPont de Nemours & Co.*, 372 F. Supp. 101 (D. Del. 1974)]. In other cases Delaware courts have interpreted "control" as two-thirds, *see Orman v. Cullman*, 794 A. 2d 5 (Del Ch. 2002).

Attempting to define control as twenty percent for the purposes of then limiting the corporation's speech rights is highly problematic. For one thing, corporate ownership in any publicly traded corporation, and in many privately held corporations, is quite fluid. A question would arise on what date to fix the percentage of foreign ownership: the date the expenditure is made; the date it is contracted for; or some other date. For publicly traded corporations near the twenty percent (or other) threshold, the company might pass back and forth over and above the line several times in a day. These are practical concerns, and it may be that they can be overcome— for example, by setting the ownership percentage at some date certain once a year. However, given the Supreme Court's ruling that individuals associated through the corporate form have a right to speak as an association of persons, it is questionable whether twenty percent foreign ownership can be used by the government to silence the 80 percent American ownership that wishes to speak. It seems highly unlikely that government could deny a parade or rally permit to a group consisting substantially of U.S. citizens on the basis that they have foreign nationals in their group, or deny a newspaper the right to publish or editorialize based on substantial foreign ownership, as with Carlos Slim's partial ownership of the *New York Times*.

This illustrates the difficulty with attempting to import a statutory definition designed for one purpose—in this case, to regulate corporate mergers— to a statutory scheme dealing with another issue, particularly one that is, as in this case, intimately tied to constitutional rights of speech and association.

I do not mean to say that no such threshold can be established. Rather, as I have already indicated in other responses, if Congress feels it must act, it must develop an appropriately, narrowly tailored solution to the problem. Given that corporations with more than twenty percent foreign ownership have long been able to make expenditures in a majority of state and local elections, and this was so uncontroversial that most Americans were not even aware of that fact, Congress should, I believe, avoid rushing to action without substantial, patient consideration of the issue.

b. Is corporate "control"—in the sense of ability to vote a significant bloc of shares and control corporate governance, board membership, or management decisions of a widely-held public company—relevant to the way that current federal law or FEC regulations regulate the involvement of foreign nationals in political expenditures by U.S. corporations?

Answer: As discussed previously, current federal law prohibits any foreign national from being involved in decisions about corporate political spending. Prior to *Citizens United*, this would have included spending in state and local races, where permitted by state law, and spending through corporate PACs, under either federal or state law. This is, in fact, a much stricter standard than proposals to use a percentage of shares, as it precludes foreign national involvement regardless of

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